

IN THE SENATE

SENATE BILL NO. 1420

BY STATE AFFAIRS COMMITTEE

AN ACT

RELATING TO MEDICAL EDUCATION; AMENDING SECTION 33-3731, IDAHO CODE, TO PROVIDE FOR THE MEDICAL EDUCATION FUND AND TO PROVIDE FOR A SOURCE OF FUNDING; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Section 33-3731, Idaho Code, be, and the same is hereby amended to read as follows:

33-3731. CONTRACT REQUIREMENTS FOR STATE-SUPPORTED MEDICAL STUDENTS -- MEDICAL EDUCATION REIMBURSEMENT FUND. (1) An individual who qualifies as an Idaho resident pursuant to section 33-3717B, Idaho Code, and who is accepted into a medical education program enrolling Idaho students supported by Idaho state funds in slots reserved for Idaho students shall, before confirming enrollment in such program or school, enter into a contract with the state board of education or the board's designee, which contract shall specify that the individual will commit to entering active full-time professional practice in Idaho for a period of four (4) years within one (1) year of:

- (a) Obtaining a license to practice medicine;
- (b) Finishing a residency or subspecialty residency; or
- (c) Finishing a medical education fellowship as defined by the state board of education or the board's designee.

(2) Each year of a residency served in Idaho, up to four (4) years, will be credited as one-half (1/2) year of the practice requirement provided in subsection (1) of this section. After the fourth year, no credit shall be given for any additional residency years.

(3) An individual who fails to abide by the contract described in subsection (1) of this section shall reimburse the state for the state's financial obligation in supporting the individual's medical education, as determined by the state board of education or the board's designee. Reimbursement must:

- (a) Begin within one (1) year of:
 - (i) Obtaining a license to practice medicine;
 - (ii) Finishing a residency or subspecialty residency; or
 - (iii) Finishing a medical education fellowship as defined by the state board of education or the board's designee;

(b) Be paid according to an amortized schedule established by the state board of education or the board's designee; and

(c) Be completed within eight (8) years of the date the reimbursement requirement began.

(4) The reimbursement obligation described in subsection (3) of this section:

- (a) Shall not accrue any interest; and

(b) May, by act of the state board of education or the board's designee, be:

(i) Suspended if reimbursement is temporarily impossible or would create extreme hardship for a temporary period, including but not limited to suspension for medical reasons, personal reasons, parental leave, or call to active duty in the armed forces; or

(ii) Waived if:

1. Reimbursement is permanently impossible or would create extreme hardship, including but not limited to death, inability to complete the program, or inability to obtain a license to practice medicine; or

2. The individual owing reimbursement is participating in a program of the federal government or United States armed forces that has a service requirement.

(5) The provisions of this section shall apply to individuals matriculating in a medical education program enrolling Idaho students supported by Idaho state funds in slots reserved for Idaho students in fall 2023 and thereafter.

(6) There is hereby established in the state treasury a medical education ~~reimbursement~~ fund, which shall be administered by the state board of education or the board's designee. Moneys in the fund shall:

(a) Consist of:

(i) Reimbursement paid pursuant to subsection (3) of this section;

(ii) On and after July 1, 2028, one percent (1%) of the gross receipts by the state of the tax on health insurance premiums, as provided by section 41-402, Idaho Code, hereby perpetually appropriated to the medical education fund;

~~(iii)~~ (iii) Legislative appropriations;

~~(iii)~~ (iv) Donations; and

~~(iv)~~ (v) Interest earned on idle moneys in the fund; and

(b) Be used for, subject to availability:

(i) The costs of administering and enforcing the provisions of this section; and

(ii) Incentive grants in an amount and according to a program established under state board of education policy. Such grants shall be awarded to licensed physicians who practice medicine in Idaho and who meet other criteria provided in board policy.

(7) The state board of education is authorized to take such actions as are necessary to effectuate the provisions of this section.

SECTION 2. An emergency existing therefor, which emergency is hereby declared to exist, this act shall be in full force and effect on and after July 1, 2026.